

Micro Set 8. Government Intervention — Singapore Tobacco Tax and Childcare Subsidy

Instructions. This booklet contains a single case study on government intervention through taxes, subsidies and regulation, followed by six short-answer questions ranging from 2 to 6 marks.

Section Case Study. Singapore’s Tobacco Tax and Childcare Subsidy Frameworks

Table 1.1: Selected Singapore Intervention Indicators, 2018–2024

Indicator	2018	2019	2020	2021	2022	2023	2024
Tobacco Excise (S\$ per 1000 cigarettes)	388	427	427	427	491	491	491
Cigarette Pack Average Price (S\$)	12.90	13.50	13.80	14.20	14.80	15.20	15.50
Cigarette Sales (millions of packs)	247	234	218	196	165	156	148
Daily Adult Smoking Rate (%)	11.6	10.6	10.1	10.6	10.1	10.1	9.8
Mean Childcare Fee, anchor operator (S\$/month)	720	720	720	720	720	720	720
Government Childcare Subsidy max (S\$/month)	600	600	600	600	600	600	600
Childcare Enrolment, 18mo-6yr (%)	81	84	79	84	88	90	91
Childcare Operating Subsidy (S\$ millions)	870	920	960	1010	1090	1180	1260

Source: Adapted from Ministry of Finance, Health Promotion Board, and Early Childhood Development Agency (ECDA).

Extract 1.1: Two policy levers: tobacco tax and childcare subsidy

Tobacco taxation. Singapore has consistently used taxation as the principal instrument for curbing tobacco consumption, alongside graphic warnings, point-of-sale display bans, and the minimum legal age of 21. The tobacco excise was raised from S\$388 per 1000 cigarettes in 2018 to S\$427 in 2019 and to S\$491 in 2022, a cumulative increase of 27 per cent. The average retail price of a 20-cigarette pack rose correspondingly from S\$12.90 to S\$15.50 over the period.

The Ministry of Finance’s framing is dual: “Cigarettes generate negative externalities through second-hand smoke and the public-health cost of smoking-related disease. The tax internalises this externality while raising government revenue, supporting both fiscal sustainability and public health.” Empirically, cigarette sales fell from 247 million packs in 2018 to 148 million packs in 2024 — a 40 per cent decline. The daily adult smoking rate fell more modestly, from 11.6 per cent to 9.8 per cent. This suggests substantial reduction in average per-smoker consumption alongside a more gradual decline in the proportion of smokers.

“We have seen a noteworthy reduction in pack sales but a slower fall in smoking prevalence,” the Health Promotion Board observed. “This pattern reflects the addictive nature of nicotine: existing smokers reduce intensity in response to higher prices, but quitting requires more than financial disincentive — it requires medical support, social networks, and time. Tobacco demand is sufficiently inelastic that even substantial tax increases reduce quantity demanded modestly, raising substantial tax revenue.”

The 2022 increase generated approximately S\$1.4 billion in additional annual revenue. There are concerns that demand-inelasticity makes tobacco taxation regressive: cigarettes consume a larger share of disposable income among lower-income smokers. To address this, the government has expanded smoking cessation programmes (free nicotine replacement therapy and counselling) for low-income smokers.

Childcare subsidy. The Government’s childcare subsidy framework operates differently. The mean fee at anchor operators is capped at S\$720 per month, and means-tested subsidies of up to S\$600/month bring the effective parental cost to S\$120/month for lower-income families. The aggregate operating subsidy to anchor operators rose from S\$870 million in 2018 to S\$1.26 billion in 2024, supporting infrastructure, teacher training, and operational costs.

“Childcare subsidies serve two purposes simultaneously,” a Ministry of Social and Family Development official explained. “First, they reduce a financial barrier to early childhood education, which generates positive externalities through later academic attainment and lower social welfare costs. Second, they enable mothers to return to the workforce, supporting labour-force participation and household income.” Enrolment in childcare for children aged 18 months to 6 years rose from 81 per cent in 2018 to 91 per cent in 2024 — a significant increase consistent with both barrier-reduction and externality-correction effects.

Critics observe that price controls combined with operating subsidies leave the government effectively running a quasi-public provision system at significant fiscal cost. The cost-effectiveness depends on the magnitude of the positive externality (skills accumulation) and the response of female labour-force participation, which has indeed risen from 60.4 per cent in 2018 to 64.5 per cent in 2024.

Source: Adapted from Ministry of Finance Singapore Budget Statement 2024, Health Promotion Board, Early Childhood Development Agency, and Department of Statistics Singapore.

Question 1**[2 marks]**

With reference to Table 1.1, calculate the percentage change in cigarette sales between 2018 and 2024. Show your working.

Question 2**[2 marks]**

Define “indirect tax” and identify, with reference to Extract 1.1, one reason why the Singapore government imposes an excise on tobacco.

Question 3**[4 marks]**

Using evidence from Extract 1.1, explain why the tobacco excise is effective at raising tax revenue but less effective at reducing the proportion of adults who smoke.

Question 4**[4 marks]**

With reference to Table 1.1, explain how a price cap of S\$720 per month at anchor childcare operators, combined with a maximum subsidy of S\$600 per month, achieves both consumer-protection and merit-good objectives.

Question 5**[6 marks]**

With the aid of a fully labelled diagram, explain how an excise tax on tobacco shifts the supply curve and affects equilibrium price, quantity, consumer surplus, producer surplus, and government revenue.

Question 6**[6 marks]**

Using evidence from Extract 1.1, explain how the childcare subsidy framework simultaneously

corrects the under-consumption of a merit good and supports labour-force participation.

End of Set 8 — Questions